

The Customs Valuation (Determination of Value of Export Goods) Rules, 2007

Source: <https://indiankanoon.org/doc/138850150/>

[Skip to main content](#)

[Legal Document View](#)

[Tools for analyzing structure and cite text of judgments](#)

[Unlock Advanced Research with PRISM](#)

[AI](#)

Integrated with over 4 crore judgments and laws ? designed for legal practitioners, researchers, students and institutions

-

[Know your Kanoon](#)

-

[Doc Gen Hub](#)

-

[Counter Argument](#)

-

[Case Predict AI](#)

-

[Talk with IK Doc](#)

-

...

[Upgrade to Premium](#)

[\[Cites](#)

0

[, Cited by](#)

0

]

[Union of India - Act](#)

[The Customs Valuation \(Determination of Value of Export Goods\) Rules, 2007](#)

[UNION OF INDIA](#)

[India](#)

[The Customs Valuation \(Determination of Value of Export Goods\) Rules, 2007](#)

[Rule THE-CUSTOMS-VALUATION-DETERMINATION-OF-VALUE-OF-EXPORT-GOODS-RULES-2007 of 2007](#)

[Published on 13 September 2007](#)

[Commenced on 13 September 2007](#)

[\[This is the version of this document from 13 September 2007.\]](#)

[\[Note: The original publication document is not available and this content could not be verified.\]](#)

[The Customs Valuation \(Determination of Value of Export Goods\) Rules, 2007](#)

[Published vide Notification in the Gazette of India, Extra; Part 2, Section 3\(i\), dated 13.9.2007](#)

[1642.](#)

[G.S.R. 593\(E\), dated 13.9.2007. - In exercise of the powers conferred by section 156 read with section 14 of the Customs Act, 1962 \(](#)

[52 of 1962](#)

[\) the Central Government hereby makes the following rules, namely:-](#)

[1.](#)

[Short title, commencement and application.](#)

(1)

These rules may be called the Customs Valuation (Determination of Value of Export Goods) Rules, 2007.

(2)

They shall come into force on the 10th day of October, 2007.

(3)

They shall apply to the export goods.

2.

Definitions.

(1)

In these rules, unless the context otherwise requires, -

(a)

"goods of like kind and quality" means export goods which are identical or similar in physical characteristics, quality and reputation as the goods being valued, and perform the same functions or are commercially interchangeable with the goods being valued, produced by the same person or a different person; and

(b)

"transaction value" means the value of export goods within the meaning of sub-section (1) of section 14 of the Customs Act, 1962 (

52 of 1962

).

(2)

For the purposes of these rules, persons shall be deemed to be "related" only if -

(i)

they are officers or directors of one another's businesses;

(ii)

they are legally recognised partners in business;

(iii)

they are employer and employee;

(iv)

any person directly or indirectly owns, controls or holds five per cent or more of the outstanding voting stock or shares of both of them;

(v)

one of them directly or indirectly controls the other;

(vi)

both of them are directly or indirectly controlled by a third person;

(vii)

together they directly or indirectly control a third person; or

(viii)

they are members of the same family.

Explanation I.- The term "person" also includes legal persons.

Explanation II.- Persons who are associated in the business of one another in that one is the sole agent or sole distributor or sole concessionaire, howsoever described, of the other shall be deemed to be related for the purpose of these rules, if they fall within the criteria of this sub-rule.

3.

Determination of the method of valuation.

(1)

Subject to rule 8, the value of export goods shall be the transaction value.

(2)

The transaction value shall be accepted even where the buyer and seller are related, provided that the relationship has not influenced the price.

(3)

If the value cannot be determined under the provisions of sub-rule (1) and sub-rule (2), the value shall be determined by

proceeding sequentially through rules 4 to 6.

4.

Determination of export value by comparison.

(1)

The value of the export goods shall be based on the transaction value of goods of like kind and quality exported at or about the same time to other buyers in the same destination country of importation or in its absence another destination country of importation adjusted in accordance with the provisions of sub-rule (2).

(2)

In determining the value of export goods under sub-rule (1), the proper officer shall make such adjustments as appear to him reasonable, taking into consideration the relevant factors, including-

(i)

difference in the dates of exportation,

(ii)

difference in commercial levels and quantity levels,

(iii)

difference in composition, quality and design between the goods to be assessed and the goods with which they are being compared,

(iv)

difference in domestic freight and insurance charges depending on the place of exportation.

5.

Computed value method.

- If the value cannot be determined under rule 4, it shall be based on a computed value, which shall include the following:-

(a)

cost of production , manufacture or processing of export goods;

(b)

charges, if any, for the design or brand;

(c)

an amount towards profit.

6.

Residual method.

(1)

Subject to the provisions of rule 3, where the value of the export goods cannot be determined under the provisions of rules 4 and 5, the value shall be determined using reasonable means consistent with the principles and general provisions of these rules provided that local market price of the export goods may not be the only basis for determining the value of export goods.

7.

Declaration by the exporter.

- The exporter shall furnish a declaration relating to the value of export goods in the manner specified in this behalf.

8.

Rejection of declared value.

(1)

When the proper officer has reason to doubt the truth or accuracy of the value declared in relation to any export goods, he may ask the exporter of such goods to furnish further information including documents or other evidence and if, after receiving such further information, or in the absence of a response of such exporter, the proper officer still has reasonable doubt about the truth or accuracy of the value so declared, the transaction value shall be deemed to have not been determined in accordance with sub-rule (1) of rule 3.

(2)

At the request of an exporter, the proper officer shall intimate the exporter in writing the ground for doubting the truth or accuracy of the value declared in relation to the export goods by such exporter and provide a reasonable opportunity of being heard, before taking a final decision under sub-rule (1).

Explanation.- (1) For the removal of doubts, it is hereby declared that-

(i)

This rule by itself does not provide a method for determination of value, it provides a mechanism and procedure for rejection of declared value in cases where there is reasonable doubt that the declared value does not represent the transaction value; where the declared value is rejected, the value shall be determined by proceeding sequentially in accordance with rules 4 to 6.

(ii)

The declared value shall be accepted where the proper officer is satisfied about the truth or accuracy of the declared value after the said enquiry in consultation with the exporter.

(iii)

The proper officer shall have the powers to raise doubts on the declared value based on certain reasons which may include.-

(a)

the significant variation in value at which goods of like kind and quality exported at or about the same time in comparable quantities in a comparable commercial transaction were assessed.

(b)

the significantly higher value compared to the market value of goods of like kind and quality at the time of export.

(c)

the misdeclaration of goods in parameters such as description, quality, quantity, year of manufacture or production.

Related AI tags, queries and research notes

Translation